

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (30 marks – approximately 54 minutes)

Prism Limited ("PRL") acquired 80% of the equity shares of Sapphire Limited ("SAL") for HK\$10.3 million on 1 October 2018. At the acquisition date, SAL reported retained earnings of HK\$1.8 million. PRL had the ability to affect the returns of SAL through its power over SAL. PRL recorded the equity investment in SAL at cost in its books.

At the date of acquisition, the fair values of SAL's assets and liabilities were equal to their carrying amounts with the exception of SAL's property, which had a fair value of HK\$1.5 million above its carrying amount. This property had a remaining useful life of ten years at acquisition date. No fair value adjustment has yet been made in the books of SAL.

On 1 October 2020, PRL acquired 30% of Team Limited ("TEL"). PRL demonstrated significant influence in TEL's financial and operating policy decisions, but it had no control or joint control over TEL. PRL paid a cash consideration of HK\$3.2 million for the acquisition. The fair value of TEL's assets and liabilities were equal to their carrying amounts at the acquisition date, except for an inventory that had a fair value of HK\$38,000 in excess of its book value. This inventory was sold to a third party by 30 September 2021.

The financial statements of PRL and SAL for the current year are shown below.

Statements of profit or loss for the year ended 30 September 2021:

	PRL	SAL
	HK\$'000	HK\$'000
Sales	(72,600)	(40,000)
Cost of goods sold	52,500	32,500
Gross profit	(20,100)	(7,500)
Other income	(800)	–
Depreciation expense	3,300	1,500
Administrative expenses	3,300	1,750
Finance costs	3,200	1,250
Profit before tax	(11,100)	(3,000)
Income tax expense	3,100	1,000
Profit for the year	(8,000)	(2,000)

Statements of financial position as at 30 September 2021:

	PRL HK\$'000	SAL HK\$'000
<u>Assets</u>		
Property, plant and equipment, net	17,700	12,900
Investment in Sapphire Limited	10,300	–
Investment in Team Limited	3,200	–
Inventory	5,400	2,200
Trade receivables	3,500	2,300
Bank	1,100	500
Total assets	41,200	17,900
<u>Equity and Liabilities</u>		
<i>Equity</i>		
Share capital	(10,000)	(9,000)
Revaluation surplus	(2,000)	–
Retained earnings	(18,800)	(3,500)
Total equity	(30,800)	(12,500)
<i>Liabilities</i>		
Trade payables	(7,500)	(4,700)
Current tax payable	(2,900)	(700)
Total liabilities	(10,400)	(5,400)
Total equity and liabilities	(41,200)	(17,900)

Additional information:

- (1) PRL chooses to measure non-controlling interest (NCI) on the basis of the NCI's proportionate share of the subsidiary's identifiable net assets.
- (2) Sales, amounting to HK\$280,000, were made from SAL to PRL during the year ended 30 September 2021. These sales were priced at a mark-up on cost of 40%. One-fifth of the goods were still held by PRL in its inventory at current year-end.
- (3) PRL had a trade receivable owing from SAL of HK\$1 million as at 30 September 2021. This differed from the equivalent trade payable in SAL's account due to a payment of HK\$322,000 made by SAL at the end of September 2021 which was not cleared by PRL's bank until early October 2021.
- (4) Due to a recent decision of discontinuing one of SAL's major product lines, the goodwill which arose on the acquisition of SAL was impaired by HK\$170,000 at 30 September 2021.
- (5) During the year ended 30 September 2021, SAL and TEL paid a dividend of HK\$800,000 and HK\$130,000, respectively. The dividends from SAL and TEL have been recognised in the books of PRL as "other income".

- (6) TEL reported a net profit of HK\$440,000 for the current year ended 30 September 2021.
- (7) There have been no new share issuances by SAL and TEL since PRL acquired the shares in these companies.

Required:

- (a) **Prepare the consolidated statement of financial position and the consolidated statement of profit or loss for the PRL Group for the year ended 30 September 2021 in accordance with HKFRS 10 *Consolidated Financial Statements* and HKAS 28 *Investments in Associates and Joint Ventures*. Ignore the effect of taxation.**

Note: Consolidation adjustments are to be shown in the form of a worksheet. For this question, you may wish to use the templates printed on the green paper provided to prepare your answers or continue your answer in the script booklet. You have to show the supporting calculation for each figure in the worksheet, but journal entries are not required.

(25 marks)

- (b) **The Chief Executive Officer thinks that PRL has an industry-wide reputation for quality. He wonders whether such reputation can be recognised as goodwill in the statement of financial position.**

Explain whether PRL's reputation can be capitalised in accordance with HKAS 38 *Intangible Assets*.

(5 marks)

Question 2 (20 marks – approximately 36 minutes)

Milky Limited ("MIL") is a manufacturing company in Hong Kong. It manufactures and sells sewing equipment to customers. It also provides maintenance service on some of its products sold.

The following shows the trial balance of Milky Limited ("MIL") as at 31 March 2021:

	Dr	Cr
	<u>HK\$'000</u>	<u>HK\$'000</u>
Share Capital	–	35,000
Reserves	–	21,800
Retained earnings at 1 April 2020	–	18,000
Loan note	–	40,000
Property, plant and equipment, net	149,300	–
Inventory at 1 April 2020	37,100	–
Trade receivables, net	48,500	–
Bank	–	13,950
Sales revenue	–	368,900
Cost of sales	266,600	–
Distribution costs	23,000	–
Administrative expenses	27,200	–
Loan note interest paid	1,500	–
Bank interest	2,150	–
Other operating income	–	1,300
Trade payables	–	56,400
	<u>555,350</u>	<u>555,350</u>

The following information is relevant to MIL for the preparation of financial statements for the year ended 31 March 2021.

- (1) Sales revenue includes an amount of HK\$20 million regarding a sale made on 1 April 2020. This sale relates to a piece of equipment with an ongoing maintenance service by MIL for five years. The standalone selling prices of the equipment and the maintenance service are HK\$22 million and HK\$600,000 per annum, respectively.
- (2) The management of MIL determined that the total estimated useful life of a piece of equipment should be increased from four years to seven years and its residual value decreased from HK\$1 million to HK\$400,000. The equipment was acquired on 1 April 2018 for HK\$11 million. Property, plant and equipment are being depreciated using a straight-line method. Depreciation is treated as a cost of sales. There were no acquisitions or disposals of property, plant and equipment during the year. Depreciation has been provided for up to 31 March 2020 in the trial balance. The depreciation charge for the current year ended 31 March 2021 amounts to HK\$25.8 million **based on original estimates**.

- (3) One of the customers of MIL, Yoda Limited ("YOL"), went into bankruptcy on 23 April 2021. The management of MIL expect that only 30% of the amount due from YOL is collectible upon completion of the bankruptcy process. As at 31 March 2021, YOL owed YOL HK\$800,000 and an expected credit loss allowance of HK\$130,000 had been recognised in accordance with HKFRS 9. No provision had been provided for this bankruptcy before the review of the financial statements by the management.
- (4) The loan note (with an effective interest rate of 5%) is a 10-year loan due for repayment by 30 June 2027. Interest is payable on every 30 June and 31 December.
- (5) The management of MIL estimate that a provision for income tax for the year ended 31 March 2021 of HK\$3.4 million is required.

Required:

In accordance with HKAS 1 *Presentation of Financial Statements*, prepare the statement of profit or loss and the statement of financial position for MIL as at 31 March 2021. Show all workings clearly.

(20 marks)

Question 3 (10 marks – approximately 18 minutes)

Fresh Air Limited ("FAL") acquired a newly constructed plant for its operation on 1 January 2019. The purchase consideration was HK\$40 million cash. The plant has an estimated useful life of 50 years with no residual value.

Immediately after the acquisition, FAL renovated the plant at a cost of HK\$4.6 million. This included an amount of HK\$50,000 billed by the architect in relation to original blueprints that were drawn up for the renovation but were scrapped due to an error. The plant was ready for its intended use on 1 July 2019.

FAL adopted revaluation model for its property, plant and equipment. The estimated fair values of the plant as at 31 December 2019 and 31 December 2020 were HK\$42,875,000 and HK\$44,000,000, respectively.

FAL has chosen to transfer the asset revaluation surplus to retained earnings when the asset is derecognised.

Required:

In accordance with HKAS 16 *Property, Plant and Equipment*, prepare the journal entries for the revaluation of the plant as at 31 December 2019 and 31 December 2020.
(10 marks)

Question 4 (20 marks – approximately 36 minutes)

Wellington Limited ("WEL") has entered into a contract to lease a crane to Kola Limited ("KOL") with the following details:

Lease term	5 years
Lease commencement date	1 July 2020
Annual lease payment payable in arrears, commencing 30 June 2021	HK\$18,000
Fair value of the crane at 1 July 2020	HK\$87,489
Estimated economic life of the crane	7 years
Estimated residual value of the crane at the end of economic life	HK\$10,000
Estimated residual value of the crane at the end of lease term, with 80% guaranteed by KOL	HK\$22,000
Interest rate implicit in the lease	7%
Weighted-average cost of capital of WEL and KOL	6%

The lease is cancellable, but subject to a cancellation penalty of 60% of the total lease payments. KOL has no plan to buy the crane at the end of the lease term. WEL incurred a cost of HK\$2,000 for negotiation and execution of the lease agreement. WEL purchased the crane for HK\$87,489 just before the inception of the lease.

Required:

In accordance with HKFRS 16 *Leases*,

- (a) Explain the classification of the lease for WEL. (7 marks)
- (b) Prepare all necessary journal entries for WEL with regard to the lease for the year ended 30 June 2021. (5 marks)
- (c) Prepare all necessary journal entries for KOL with regard to the lease for the year ended 30 June 2021. (8 marks)

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